



1.1 Meeting Customer Needs

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- * The Market
- * Market Research
- * Market Positioning



An introduction to marketing

- A market is any place where **buyers and sellers can meet**, e.g. amazon.co.uk or a shopping mall
- **Different markets** have varying characteristics and are affected differently by changes
- **The aim of marketing is to help identify, anticipate and satisfy consumer needs and wants profitably**
 - Needs are considered essential, e.g. shelter or food
 - Wants are desires that are non-essential, even if consumers consider them to be essential, e.g. Nike trainers
- **Market research** is essential in helping businesses identify products and services they can develop in response to the needs and wants of their customers
 - Market research is the process of **systematically gathering data** from consumers that can be used to influence business decisions

Mass markets and niche markets

The characteristics of markets

- In **mass markets**, products are aimed at broad **market segments**; e.g. Kellogg's Corn Flakes is an example of a breakfast cereal aimed at the mass market
 - Market segments are groups of consumers who share similar characteristics, e.g. age, lifestyle
 - **Mass marketing** occurs when businesses sell their products to most of the available market
 - Production usually happens on a **large scale**
- In **niche markets**, products are aimed at a subset of the larger market, e.g. gluten-free products
 - **Niche marketing** occurs when businesses identify and satisfy the demands of a **small group of consumers** within the wider market
 - Production usually happens on a **small scale**

Characteristics of Mass Markets and Niche Markets

Mass Markets	Niche Markets
▪ Products are less unique, as they are aimed at broad market segments	▪ Products are more specialised and unique, as they are aimed at narrow market segments



Your notes

- | | |
|---|---|
| <ul style="list-style-type: none">▪ Low average costs due to large-scale production economies of scale▪ Low prices lead to greater affordability and higher sales volumes▪ Low prices lead to lower profit margins▪ Primark is an example of a clothing company that focuses its products on the mass market | <ul style="list-style-type: none">▪ High average costs due to small-scale production<ul style="list-style-type: none">▪ They do not benefit from economies of scale▪ High prices make products less affordable and lead to lower sales volumes▪ High prices can allow businesses to earn a higher profit margin▪ Louis Vuitton is an example of a fashion company that aims its products at a niche market |
|---|---|

Market size and market share

- The size of a market can be measured through **sales volume or sales value**
 - Sales volume is the **number of products** sold, i.e. the physical number of units sold
 - **Sales revenue = price × quantity sold**, i.e. the financial value of the units sold
- The market share that a business enjoys is the **proportion of the total sales** of a product/service compared to the market as a whole; e.g. Tesco has 26% of the UK grocery market
- **Market share** can be calculated as follows:

$$\frac{\text{Sales of a business}}{\text{Total sales in the market}} \times 100$$



Worked Example

In 2022, the UK coffee shop market was worth £4.6bn. Sales of Starbucks Coffee totalled £328m in 2022.

Using the data, calculate, to two decimal places, the market share of Starbucks Coffee in the coffee shop / café market. You are advised to show your workings.

[4]

Step 1: Identify the annual sales of Starbucks Coffee

$$= \text{£}328\text{m}$$

Step 2: Identify the total market sales in the coffee shop market

$$= \text{£}4.6\text{bn} \quad []$$

Step 3: Substitute the figures into the formula

$$= \frac{\text{Sales of a business}}{\text{Total sales in the market}} \times 100 \text{ []}$$

$$= \frac{\text{£ 328m}}{\text{£ 4.6bn}} \times 100 \text{ []}$$

Step 4: Present the answer rounded to two decimal places

$$= 7.13\% \text{ []}$$



Examiner Tips and Tricks

- By providing the formula and showing your working out, even if you do not get the right answer, you will still be able to gain some marks.

Brands

- A brand is a **name, image or logo** that helps a product or service stand out from its competitors
- Branding is one of the key ways businesses achieve **product differentiation**



- Brands are unique and protected by law
- Brands **add value**, often making the product or service more desirable to consumers
 - Adding value is the process by which firms **increase the price** that the consumer is willing to pay
- Brands **influence the position of the business** within its market
 - Businesses operating in mass markets use branding **to stand out** from the competition
 - Businesses operating in niche markets use branding to **communicate their offering** to a small, well-defined group of consumers



Your notes

- Strong brands are more likely to be able to **charge higher prices** for their products than weaker brands
- The **perceived quality** of a strong brand's products is better than that of weaker brands



Your notes

Dynamic markets

- A **dynamic market** is a market that is **subject to rapid or continuous changes**
- Many **markets are becoming more competitive**, making change inevitable
 - Those businesses that do not adapt are less likely to survive in the long run
 - The **mobile phone market** is a good example of a dynamic market
- Businesses with **monopoly power** (e.g. Amazon) might not face the same dynamic pressures as businesses in **more competitive markets**
- Many markets are dynamic, but **others change very slowly**; e.g. the market for eggs and milk has been relatively stable for years



Changing technology ensures that the mobile phone market is dynamic

- There are four areas to consider when **examining dynamic markets**
 - Online retailing
 - How markets change
 - Innovation and market growth
 - Adapting to change

1. Online retailing

- Online retailing involves selling products via the internet

The advantages and disadvantages of online retailing for firms and consumers

Advantages	Disadvantages
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Your notes

■ Provides business access to more consumers, including internationally ■ Enables longer trading hours, as the business is open 24/7 ■ Cheaper to run, as it lowers fixed and variable costs compared to brick-and-mortar retailers ■ Businesses can collect data by tracking consumer behaviour, which helps with primary market research ■ Consumers can receive offers that they are more likely to benefit from ■ Consumers can shop at a time that suits them	■ There may be high costs for website development, maintenance and promotion ■ Online retailing is dominated by well-known large businesses ■ High levels of competition mean that it will be expensive to make a website stand out ■ There is a lack of personal contact with customers ■ Consumers may find it difficult to get their desired level of customer service ■ Consumers may find it difficult to return unwanted products ■ Online purchasing opens consumers up to credit card fraud
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2. How markets change

- Changing market conditions offer new opportunities for firms but also pose threats
- The following changes cause markets to be dynamic:
 - **Changing consumer tastes and preferences**, e.g. consumers desiring electric vehicles in place of traditional petrol/diesel cars
 - **Changing demographics**; e.g. many developed countries have an increasingly older population who have different wants and needs compared to previous markets
 - **The amount of competition**; e.g. international trade means larger market sizes but also more competition between an increasing number of firms
 - Competition can be **direct**, i.e. the sale of similar products, or **indirect**, e.g. airlines competing with each other but also with other forms of transport, such as trains
 - **Changing legislation**; e.g. laws that strengthen environmental standards often create new markets

3. Innovation and market growth

- Product innovation involves the adaptation or improvement of existing **products**, e.g. improved video cameras on laptops
- Process innovation involves the adaptation or improvement of existing **processes**, e.g. **just-in-time** stock control



Your notes

- **Market growth** is the measurement of the **change in the entire market**, expressed as a percentage of the original size
 - A **business's market share** does not necessarily increase automatically as the **entire market** continues to grow
- Market growth can be caused by numerous factors. For example:
 - **Increasing population sizes** can increase demand in certain markets
 - Increasing incomes can increase demand in certain markets
 - Changing tastes and preferences can cause the market to grow, e.g. the growth in **the electric car market**



Worked Example

Sales of electric vehicles were 267,203 in 2022. This was a 40% increase from the previous year.

Calculate the number of electric vehicles sold in the UK in 2021. Round your answer to the nearest whole car. You are advised to show your workings.

[4]

Step 1: Find the number of electric cars sold in 2022

$$= 267,203 \quad [1]$$

Step 2: Reduce 267,203 by 40%

$$= 267,203 \div 140 = 1,908.59$$

$$= 1,908.59 \times 100 \quad [2]$$

$$= 190,859$$

Step 3: Express your answer to the nearest whole number of vehicles

2021 UK sales = 190,859 electric vehicles [1]

4. Adapting to change

- Recognising and adapting to market changes allows businesses to **thrive in dynamic markets**
- Strategies to adapt to change include:
 - **Create flexible business structures**, especially in terms of operations and people management
 - **Meet customer needs** by carrying out market research and communicating with customers

- **Invest** in staff training, new products and processes
- **Innovate** so as to gain the **first mover advantage**

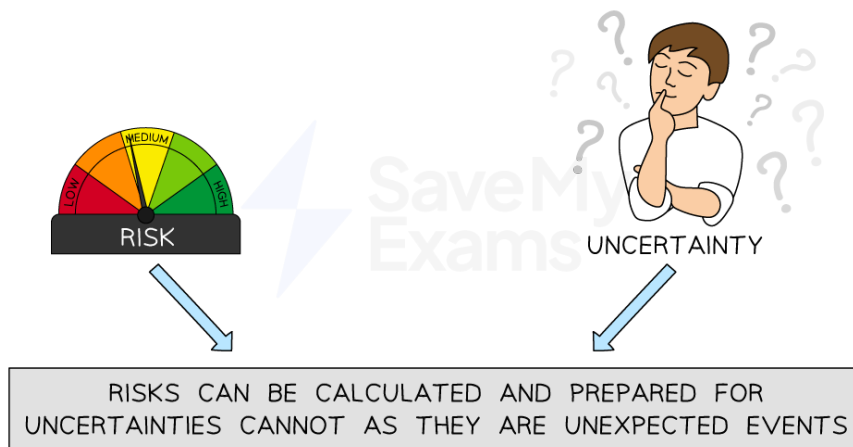


Your notes

How competition affects the market

- Competition occurs when **at least two businesses** are providing goods/services to the same target market
 - The more businesses in the market, the more intense the competition
- Competition can be **direct** or **indirect**
 - Direct competition occurs when the business is targeting customers with **the same product** as a competitor
 - Indirect competition occurs when **firms sell different products** but compete with each other for customers' **disposable income**; e.g. cinema and theatre companies are in indirect competition
- Competition results in **many benefits for the customer**, such as:
 - Businesses offer lower prices
 - Businesses produce better quality products
 - Businesses provide better customer service
- The **absence of competition** reduces incentives for businesses to innovate, be efficient or offer consumers lower prices

The difference between risk and uncertainty



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The difference between risk and uncertainty

- Risk is the **potential threat to business success**
 - Risks can be from **inside the business** (internal) or from **outside the business** (external)

- Risks can be measured and prepared for using **risk management**
- Uncertainty occurs when **outcomes are difficult to predict**

Examples of risk and uncertainty

Risk	Uncertainty
▪ Technical failures due to the breakdown of essential equipment ▪ Cybersecurity threats ▪ Loss of key staff members ▪ Currency fluctuations for firms trading internationally	▪ Businesses continue to face uncertainty after Britain's exit from the European Union ▪ Will the economy go into recession? ▪ Will energy prices continue to rise? ▪ What will happen to interest rates? ▪ How will rivals react to a new product launch?



Examiner Tips and Tricks

You can make use of the concepts of risk and uncertainty in strategy-focused questions. For example, when evaluating a particular strategy, you could explain the possible risks as well as the rewards associated with it.

Moreover, there are no certainties in business, so outlining potential uncertainties before making a recommendation at the end of an essay is a good way to demonstrate evaluation skills.

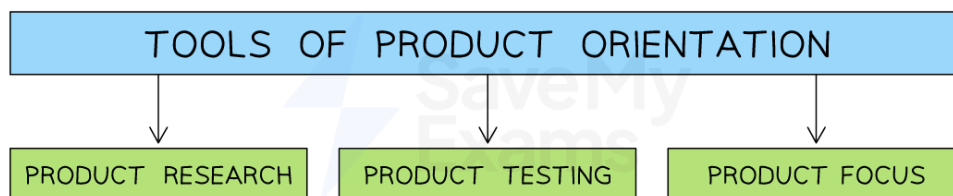


Your notes



Product and market orientation

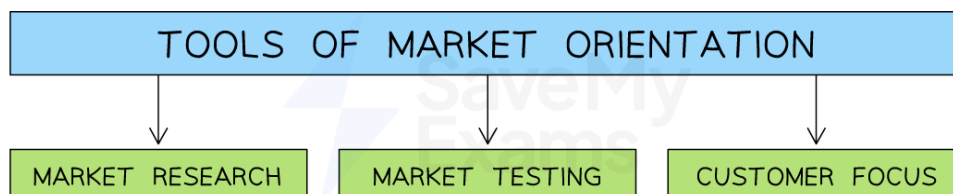
- **Product orientation** is an approach to marketing that focuses on the **characteristics of the product** rather than the needs of the consumer
 - The emphasis will be **on creating a product first** and **then finding a market**
 - The business has a belief that the product is superior; i.e. it will sell itself
 - Over time, being **too product-oriented** means the business may move further and further away from what the market is looking for, thus increasing the risk of business failure
 - E.g. Gillette's razors can be classified as a **product-oriented business**, as the business focuses on the quality of its products, and regular innovations aim to increase sales



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Product orientation is an approach often used by inventors who research, test and produce a product well before market research has taken place

- **Market orientation** is an approach to marketing that focuses on the **needs of consumers** and uses this information to design products that meet customer needs
 - **Consumers are at the centre of marketing decisions**
 - Products will be developed that **respond to consumer needs**
 - The business is likely to benefit from increased demand, increased profits and a **valued brand image**, as its products are desirable
 - E.g. universities often develop new courses based on the feedback they receive from students and employers



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Market orientation aims to develop products to meet the needs identified by consumers during the market research process

Primary and secondary market research data



Your notes

- **Market research** is the **collection, compilation and analysis of information about a market**
- Effective market research will help the business:
 - **Reduce risk** when launching new products or entering new markets
 - Anticipate the future needs and wants of consumers
 - **Understand consumer behaviour**
 - Identify potential consumer **demand**
 - Identify how much consumers are **prepared to pay** for a product/service
 - **Identify competitors** and gauge their potential strengths and weaknesses
- **Market research data** can be **quantitative** or **qualitative**
 - Both forms are useful, and any data analysis should ideally include a combination of the two

Primary research

- **Primary research** is the process of gathering information **directly from consumers** in the target market using field research methods, such as surveys, interviews, etc.
 - Primary research gathers **information that is new** and does not necessarily exist in any format

Primary research methods

Method	Explanation
Surveys	▪ The most widely used primary research method is sampling a population by using surveys ▪ This is where you would ask a series of questions to a certain number of people (respondents) ▪ The results from the sample are used to make inferences. This is where the results of the sample are extrapolated to be true for the wider population ▪ A wide range of respondents can be reached using online survey tools, such as Survey Monkey
Observation	▪ This involves hiring someone to stand in an appropriate location and study consumer behaviour in a store or perhaps judge the potential consumer traffic at a particular location



Your notes

	■ Researchers may observe the impact of packaging on consumer choice or the impact that the particular placement of a product in a store may have on consumer choice
Interviews	■ These questions may be set up in a very similar way to a survey; however, an interviewer asks the questions ■ This method takes longer but does allow the interviewee to ask follow-up questions and gather information that could easily be missed when conducting surveys
Test marketing	■ Free samples are provided for a limited period to the target market to gauge their response to the product
Focus groups	■ Free-range discussions, led by a marketing specialist, collect detailed feedback from a group of people in the target market ■ Usually limited to a small group of 12–15 people ■ The group typically meets for 1.5 to 3 hours

Advantages and disadvantages of primary market research

Advantages	Disadvantages
■ Information gathering is focused on the needs of the business and will not be available to its rivals	■ The sample size may be too small and unrepresentative of all customers, leading to unreliable results
■ The business can get in-depth information from respondents, for example, the reasons behind certain behaviour	■ Bias may mean that researchers can guide respondents to answer questions in a particular way ■ Similarly, respondents may be influenced by the responses of others or may not provide accurate information
■ Primary market research is more up-to-date and can be used to ask specific questions, so it will be more relevant	■ A business may need to hire a specialist market research agency to help, but this process can be expensive and time-consuming

Secondary research

- **Secondary research** involves the collection, compilation and analysis of data that already exists

- Typical methods include **purchasing market reports** from specialist companies or accessing government statistical portals that provide useful information

Advantages and disadvantages of secondary market research

Advantages	Disadvantages
▪ Information is already available, so it is quicker to collect than through primary research, thereby saving time	▪ Information has been collected for other purposes and so may lack relevance or may not be factually correct, e.g. Wikipedia
▪ Information is often free (e.g. government websites and internet sources such as Statista) or cheap to collect, leading to lower costs compared to primary research	▪ It can be expensive to purchase market-specific secondary data from specialist companies, e.g. Mintel reports
▪ It is suitable for a small business that lacks a large marketing budget and/or expertise	▪ The information may be out of date, especially in dynamic markets

Using ICT to support market research

- ICT refers to information and communications technology
- It can be used to support market research in the following ways:

Company websites

- Websites allow businesses to collect primary data cheaply, such as tracking consumer searches and analysing customer reviews, as well as collecting secondary data about rivals, e.g. prices and special offers
- Pop-ups used on websites can also be an effective way of gathering information

Databases

- These can be used to **store large amounts of customer information**, e.g. Tesco loyalty cards
- Databases are also effective in collating customer email addresses so that targeted customers can be surveyed later via email

Social networking

- This focuses on **gathering information about consumers via online social channels**, such as Twitter and Facebook
- It is also useful as a method of running quick polls and surveys or tracking opinions about brands

Market segmentation



Your notes

- **Market segmentation** is the process by which a single market is **divided into submarkets**, or segments
 - Each segment represents a slightly different set of **consumer characteristics**
 - Firms often segment their markets according to factors such as income, geographical location, religion, gender and/or lifestyle
- A market for a good such as crisps is not simply seen as one market; i.e. the crisp market is divided into many **market segments**, such as:
 - **Dinner party snacks** (Walkers Sensations, Pringles, Burts) with a premium price are targeted at middle to upper earners/professionals
 - **Health-conscious crisps** (Walker's Lite, Walkers Baked, Ryvita Lite) are targeted at the health-conscious market
 - **Lunch box value snacks** (multipacks, Hula Hoops) are targeted at families and the mass market

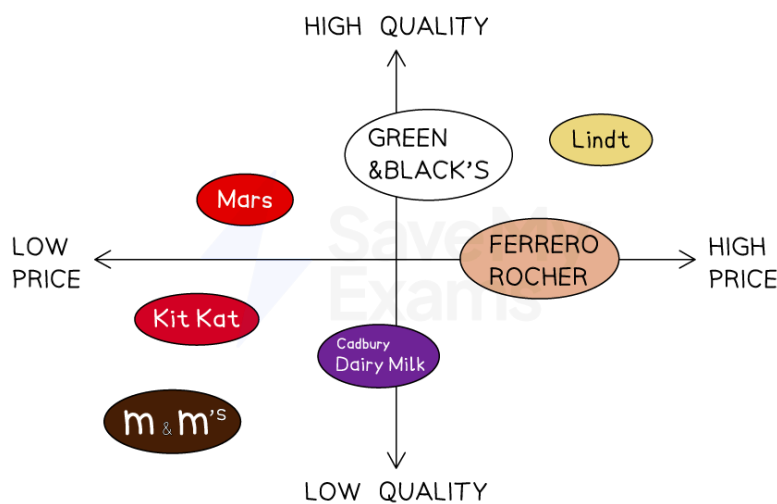
Advantages and disadvantages of market segmentation

Advantages	Disadvantages
▪ Recognises that consumers are not all identical ▪ Consumer groups do not all share the same tastes and preferences	▪ Not everyone within a segment will behave in the same way
▪ Products and marketing activities can be altered to meet the different needs of different groups of consumers and targeted more precisely	▪ It may be difficult to identify a segment, and consumers can belong to multiple segments at the same time
▪ Less expensive and wasteful than marketing products to wide market segments	▪ Segmentation requires more detailed market research, which can prove costly — but beneficial — to the business
▪ May increase loyalty if the consumer feels that their needs are being met, which can lead to repeat purchases	▪ A market segment may be identified, but it may be too small and unprofitable to cater to



Market positioning and market mapping

- **Market positioning** refers to the process a business goes through when launching a new product or service
 - The business decides where it wants to position its product in the market with regard to price, quality, branding and customer perception
- **Market mapping** is a **tool for identifying the position of a product within a market**
 - A **market map** refers to a **two-dimensional diagram** that shows the attributes or characteristics of a product in comparison to rivals' products
 - Only **two criteria** can be chosen: price and quality, age and income, etc.



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m & m's has positioned itself as low price and low quality in this example of a market map

Market map analysis

- If there were no spaces left on the market map, it indicates that **the market is saturated**
 - This means that there are no opportunities to exploit a **market niche** in the market
 - Competition is likely to be high and **profits low**
- However, the existence of a space on the market map may indicate the existence of a market niche
 - This needs to be researched carefully before the business commits. E.g. it looks like there is a gap in the market in the **high price / low quality area** in the map above
 - However, this gap does not represent a worthwhile market, as the business would find it **impossible to build and maintain a loyal customer base**

The usefulness and limitations of market mapping



Your notes

Usefulness	Limitations
▪ Market gaps can be identified that may enable a business to come up with ideas for new products ▪ Comparisons can be made between a business's products and those of its rivals — i.e. where are the business's products positioned relative to its rivals? ▪ Market maps are simple to construct and offer a visual illustration of the position of a product in the market	▪ A gap in the market may exist because it is not profitable to fill ▪ Mapping a market may require primary research, which can be expensive ▪ Only two criteria can be chosen, which may prove too simplistic ▪ Markets are often dynamic, and a market map only provides insight at a specific point in time

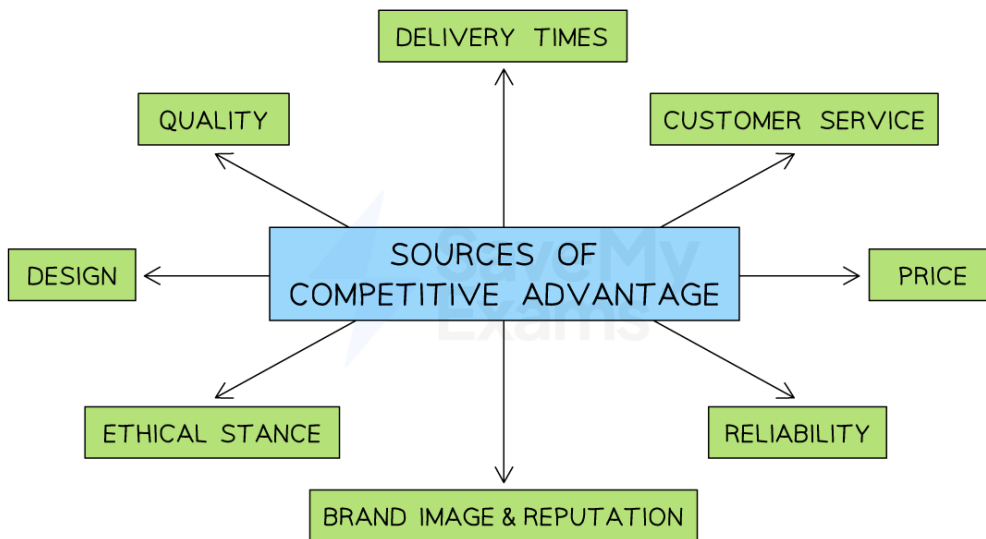
Competitive advantage of a product or service

- **Competitive advantage** refers to the features of a business and its products that are perceived as superior to its rivals by customers
- It is how a firm's product is made both **distinctive and defensible**
 - **Distinctive** means that the product is different from those of competitors
 - **Defensible** means that the business can prevent competitors from copying the product

Source of competitive advantage



Your notes



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Sources of competitive advantage include reliability, design and quality

- There are many ways a firm can gain a competitive advantage, including:
 - Innovation and reputation (branding)
 - Building strong relationships with stakeholders
 - **Adding value**
 - **Differentiation**
 - Market segmentation
 - Price leadership
- Examples of the source of a business's competitive advantage include:
 - **Quality**; e.g. Audi is well known for the exceptional quality of the finishing inside its cars
 - **Delivery times**; e.g. Amazon Prime delivers products within 24 hours of ordering
 - **Low price**; e.g. Primark is considered to provide the best value / low price combination
 - **Reliability**; e.g. Apple Macs have an excellent reputation for long life and reliability
 - **Ethical stance**; e.g. Tony's Chocolonely only uses cocoa in its chocolate, which is 100% free of slave/child production
 - **Design**; e.g. Dyson vacuum cleaners stand out from the crowd with their original design

The purpose of product differentiation

- **Product differentiation** is an attempt by a business to distinguish its products from those of competitors

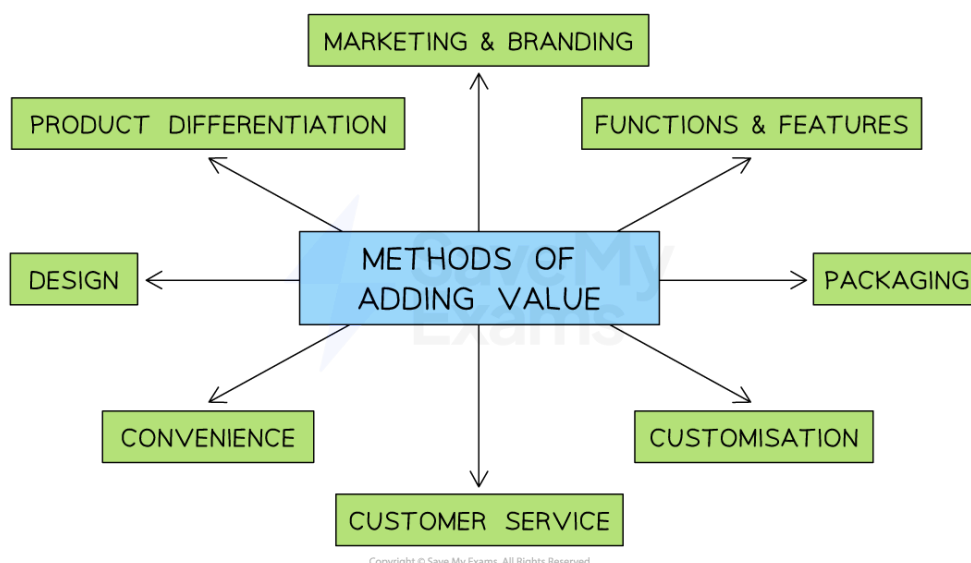


- This involves creating functions or features of the product (or firm) that help it to stand out from its competitors
- Strong product differentiation helps the firm develop its **competitive advantage**
- The development of product differentiation often helps a firm create a **unique selling point** for its product, which can be used in marketing
- Product differentiation may be **tangible** (clearly visible), or it may be a **perception** that is created about the product in the consumer's mind
- Successful product differentiation helps the business to **increase demand for its products, increase brand loyalty** and allow the business to **charge higher prices**
- Examples of successful product differentiation include:
 - In 2014, Hyundai in Singapore introduced a three-year warranty on all its new cars, when the industry standard was one year
 - Green & Black's uses Fairtrade cocoa and sugar in the production of its chocolate

Adding value to products/services

- **Adding value** is the difference between the price that is charged to the customer and the cost of inputs required to create the product or service
- E.g. customers are prepared to pay more for potatoes when they are packaged as oven chips than they would be willing to pay for a bag of whole potatoes

Methods of adding value



Some methods of adding value include design, packaging and branding

- The methods of adding value overlap with some of the features of product differentiation:
 - **Marketing and branding**
Building brand identification and customer loyalty to the brand allows a firm to

charge a higher price for its products, thus increasing the added value

- E.g. Yeezy 350 V2 sneakers sell for \$250 a pair

- **Functions and features**

Adding unique features allows a firm to charge a higher price for its products, thus increasing the added value

- E.g. The Samsung Galaxy Watch5 has robust health tracking tools built into it, along with an amazing screen

- **Customer service**

Businesses that ensure they have a good reputation for customer service can charge a higher price for their products, thus increasing the added value

- E.g. John Lewis is considered to provide the best customer service amongst department stores in the UK

- **Customisation**

Allowing customers to design or create their products allows a firm to charge a higher price, thus increasing the added value

- E.g. Moonpig birthday cards can be completely customised

- **Packaging**

Apple products are well known for their superior packaging, which creates an exciting opening experience for the customer. This allows the firm to charge a higher price for its products, thus increasing the added value



Examiner Tips and Tricks

Businesses may use several methods of adding value.

Adding value often raises costs, but it is worth it if the increase in selling price outweighs the costs associated with the method.

For example, if improving the packaging costs £1 per unit and the firm can raise its selling price by £1.40 per unit, then profitability will improve.



Your notes